

and Exchange Board of India (SEBI) to regulate the stock market and stock exchanges.

Over the next month, rampaging bulls lifted the Sensex by over 300 points. The leader of the herd was none other than Harshad himself, who was now known by the nickname Big Bull, a title that had previously belonged to the UTI boss M. J. Pherwani.

To justify the absurd valuations that many of his favourite stocks were quoting at, Harshad advocated the 'replacement cost' theory, which held that a stock should not be valued on the company's earnings potential, but on the basis of what it would cost to create a similar company. The concept caught on like wildfire in the stock market, sending the prices of even the most inefficient and mismanaged companies shooting through the roof.

Even today, Harshad is credited with having come up with the 'replacement cost' theory, but that is not true. He may have propagated it, but it was not his original idea in any way. As I mentioned earlier, my brief stint as a library assistant helped me develop a lifelong love for reading. Many years later, when I read the full 1956 debate in the Rajya Sabha over the Securities and Contracts Regulations Act, I came across a passage in which P. D. Himatsingka, a member of parliament from West Bengal, had made an interesting argument. He justified the steep rise in the share price of the Indian Iron and Steel Company, saying it was cheaper for a buyer to purchase shares from the open market and take control of the company rather than to incur a much heavier expense setting up a new steel plant.

ACC shares had by then climbed to Rs 3,000, having almost doubled since the beginning of the year. The moment Harshad or his associate brokers simply made inquiries about a stock, its price would start rising, even without a single share having been actually purchased. The sixfold rise in ACC over the previous year was proof to the market of what Harshad could do to the fortunes of a stock.

Promoters began to seek him out, and he, in turn, would seek out promoters of the companies he was interested in. Not all these meetings were fruitful, but sometimes the promoters would leak news of the meeting to the market, hoping to fire up their stock. At other times, Harshad's associates would spread the word, creating the same effect.

By now, Harshad's flashy lifestyle was making headlines. With his 15,000 square-foot apartment in Worli overlooking the sea, his designer